

XtalPi - H

1H26 profit warning expected; Focus on continued AI platform achievement

XTAILPI's 1H26 profit warning is largely anticipated given the group is cycling a high base from the US\$51mn upfront payment received from DoveTree in 1H25. Stripping DoveTree BD (business development) revenue out, underlying revenue growth remained strong, led by non-BD services, while stepped-up R&D investment into AI4S and agentic AI should support medium-term platform and pipeline monetisation. The upcoming AI4S (AI for Science) Demo Day in Shanghai on 29 Jul, should further underline management's continued execution on its AI platform development.

- **The reported YoY sales decline in 1H26 was broadly expected**, in our view, given the high comparison base in 1H25, when the company recognised the US\$51mn upfront payment (RMB365.1mn) from its major collaboration project with DoveTree. In the profit warning, management guided 1H26 revenue to RMB380-400mn versus RMB517.1mn in 1H25, while net profit is expected to swing to a loss of RMB215-275mn. Importantly, the same DoveTree collaboration continued to progress, with the company receiving the second US\$19mn payment (RMB129.4mn), recognised in 1H26 as revenue from drug discovery work.
- **More importantly, underlying operating momentum appears solid.** Excluding the DoveTree revenue, management indicated non-BD revenue in 1H26 should be no less than RMB250mn, implying YoY growth >65%. Within this, revenue from the AI for Science business is expected to be no less than RMB180mn, up >120% YoY, supported by rapid new client expansion, high repeat purchases from existing clients, and continued technology iteration and delivery quality. This suggests non-BD service-led revenue has remained the key growth engine during the period, with both robotic laboratory solutions and intelligent services sustaining strong momentum.
- **At the same time, the earnings pressure also reflects deliberate investment rather than deterioration in franchise quality.** Management expects 1H26 R&D expense of no less than RMB340mn, up more than 50% YoY, mainly due to continued investment in autonomous laboratories, agentic systems, pipeline development and multimodal technology platforms. This is consistent with the company's strategic direction outlined in its 2025 annual report, where it emphasised building a closed-loop AI-driven R&D system spanning scientific AI, physical AI and agentic systems, while continuing to expand from services toward higher-value drug and other assets. We think this elevated R&D spending would weigh on near-term earnings but support medium-term growth through stronger platform capability, broader customer monetisation and drug pipeline commercialisation potential.
- **Looking ahead, the company will host its AI4S Demo Day in Shanghai on 29 Jul**, which should offer a timely showcase of its ongoing efforts in developing and iterating its AI platforms and tools. We see the event as a catalyst for investors to better appreciate the progress of XTALPI's AI4S stack, particularly as the company continues balancing near-term profitability with longer-term investment in scalable science infrastructure for pharmaceuticals and other science disciplines.

Overweight

2228.HK, 2228 HK

Price (24 Jul 26):HK\$7.20

Price Target (Dec-27):HK\$10.00

Healthcare

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Investment Thesis, Valuation and Risks

XtalPi - H (*Overweight; Price Target: HK\$10.00*)

Investment Thesis

We rate XtalPi at Overweight as a differentiated, service-led way to gain exposure to China's AI drug discovery theme. Unlike pipeline-centric peers that rely heavily on binary clinical outcomes, XtalPi generates revenue today through AI-enabled discovery services and AI-for-Science contracts, leveraging its unique robotics-driven "Physical AI" platform that integrates AI models with automated wet-lab experimentation in a closed-loop discovery engine. This scalable infrastructure creates a durable competitive moat, reinforced by proprietary experimental data and applicability beyond pharmaceuticals into materials science and consumer health. Supported by a diversified roster of blue-chip partners, including Eli Lilly, Janssen, UCB and Pfizer, and a sizable backlog, XtalPi offers a broader and lower-risk commercialization pathway, although revenue remains inherently milestone-driven and uneven. Looking ahead, we see multiple catalysts from partner milestones, asset progression and new business development opportunities, providing attractive upside while building on an already established and growing revenue base rather than depending on binary proof-of-concept events.

Valuation

Our Dec-2027 price target is HK\$10, which is based on SOTP. We break down XtalPi's business into 1) Intelligence solution, 2) drug discovery, and 3) self-developed pipeline, with the first two being valued using an assigned AI-empowered EV/S and the third business at (risk-adjusted net present value) rNPV. The implied 27E P/S is ~25x, which is at the lower end of global AIDD peers trading at 5x-173x (median ~60x).

Risks to Rating and Price Target

Key downside risks include unfavorable sentiment towards AI themes, sluggish outlicensing deals with lower-than-expected value, unfavorable clinical trial outcomes, geopolitical risks including rising US-China tension, unfavorable events against AI drug discovery sentiment, and worse-than-expected sales & earnings

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XtalPi - H (2228.HK, 2228 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
23-Jul-26	OW	7.00	10

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jul 23, 2026. All share prices are as of market close on the previous business day.

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